

How to protect yourself from crypto scams

Learn how to spot and avoid crypto scams.

Fidelity Viewpoints



Key takeaways

Most crypto scams rely on familiar tricks: Impersonation, emotional pressure, and false promises are common.

Unexpected messages are a major warning sign. Be skeptical of urgent requests to move funds or share information.

Smart security habits can reduce risk. Research before acting, use multi-factor authentication (MFA), and never share seed phrases, private keys, or passwords.

Digital assets (including [cryptocurrencies](#)) offer new ways to invest and transact online, but like any financial asset, they can also attract scammers. Because crypto transactions are digital and typically irreversible, it's especially important to understand common cryptocurrency [scam tactics](#). Let's explore how to spot warning signs, outsmart scammers, and protect yourself.

Types of crypto scams and how to avoid them

While the specific methods scammers use may evolve over time, most [crypto scams](#) rely on a small set of familiar techniques: Impersonation, social engineering, false investment promises, and technical exploitation. By learning how these crypto scams work, you can better protect yourself and your assets. Let's dive into 5 crypto scam types below.

1. Impersonation scams

Impersonation scams are one of the most common [cryptocurrency](#) scams. It occurs when a scammer poses as a trusted source to trick you into sharing sensitive information, such as login credentials, private keys, or personal data. Scammers may pretend to be a legitimate business, long-distant friend or old coworker, customer support representative, financial institution, law enforcement, or even a public figure. These scams may arrive via email, messaging apps, text message, phone calls, or social media.

Advances in technology have made these scams more convincing. Examples include fake email addresses that closely resemble real ones and AI-generated images or videos designed to appear authentic. These impersonation techniques are used to build trust quickly and pressure victims into acting.

Watch out for: Any unsolicited message asking you to verify an account, move funds, or share sensitive information should be treated with caution.

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2. Confidence/romance scams

Some scams rely on building emotional trust over time. In romance scams, a scammer tricks a victim into a fake online relationship and gradually introduces investment opportunities or requests for financial help, often involving cryptocurrency. Similar scams may involve impersonating a friend, family member, or authority figure in distress.

These scams are effective because they exploit human emotions rather than technical vulnerabilities. Over time, scammers may combine multiple approaches—romance, investment advice, and impersonation—into a single scheme, making them harder to recognize.

Watch out for: Pressure to move conversations off a trusted platform or requests to keep financial activity secret.

3. Investment scams: Rug pulls and pump-and-dump schemes

Investment scams are on the rise and often promise unusually high returns. In a rug pull, scammers promote a new crypto project, encourage others to invest, and then suddenly withdraw funds or abandon the project, leaving investors with worthless assets.

Pump-and-dump schemes follow a similar pattern. Scammers spread false or misleading information to artificially inflate the price of a cryptocurrency. Once prices rise, they sell their holdings, causing the value to collapse.

These scams may be promoted through social media, messaging apps, or online forums and often rely on urgency and hype to discourage careful research.

Also, video testimonials on fraudulent crypto investment sites of reputable investment advisors and celebrities encouraging investment are often video deepfakes.

Watch out for: Claims of “guaranteed” returns or pressure to invest quickly before an opportunity disappears. Also, beware of unexpected contact through text, email, or messaging apps promoting the investment scam.

4. Technical exploitation and cryptojacking

Not all cryptocurrency scams involve direct communication. Cryptojacking occurs when malicious software infects a device and secretly uses its computing power to mine cryptocurrency. The victim may notice slower performance or overheating from their device, but may not realize what’s happening.

Other technical attacks exploit vulnerabilities in blockchain protocols or smart contracts. For example, flash loan attacks take advantage of weaknesses in decentralized finance systems to manipulate prices or drain funds. While these attacks typically target platforms rather than individuals, they can still affect users indirectly.

Watch out for: Unexpected device behavior, such as interactions with unfamiliar applications or websites.

5. NFT and digital asset scams

As interest in non-fungible tokens (NFTs) has grown, scammers have found ways to exploit confusion around ownership and authenticity. Fake or counterfeit NFTs may be sold by impersonating legitimate creators or marketplaces. In some cases, scammers duplicate existing artwork and sell it to unsuspecting buyers.

Because blockchain transactions are permanent, recovering funds after purchasing a fake asset can be difficult.

Watch out for: Sellers who cannot be verified or listings that lack clear provenance.

Guide to crypto scams



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While the previous [Log in](#) oned crypto-scam categories aren't completely new, the way they are executed continues to evolve. Scammers increasingly combine multiple tactics—such as sending texts, social media messages and calling—into coordinated schemes. Many scam operations now use automated tools, ready-made phishing kits, and AI-generated content to scale their efforts and appear more legitimate. As a result, scams may feel more personalized and harder to distinguish from real communications.

How to protect yourself from crypto scams

Although cryptocurrency scams are becoming more sophisticated, these basic safety habits remain highly effective:

- [Research cryptocurrencies](#), platforms, and offers carefully before taking action, especially if returns seem guaranteed.
- Avoid clicking on unexpected or unsolicited links, or downloading attachments from unknown sources.
- Never share private keys, passwords, security codes, or personal information if you are contacted by a company. Legitimate companies won't contact you to ask for them.
- Enable multi-factor authentication (MFA) on all financial, email, phone, and crypto-related accounts.
- Keep social media profiles and financial details as private as possible to reduce impersonation risk.
- Be alert for misspellings, unusual sender addresses, or messages that pressure you to act quickly.

The bottom line on crypto scams

Crypto scams can be intimidating, but knowledge is a powerful defense. By understanding common scam patterns and staying alert to warning signs, you can approach crypto with greater confidence. As the crypto landscape evolves, continuing to educate yourself and applying strong security practices can help reduce risk and support smarter decision-making.

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